

MGT402 MID 2010 from zohib

MIDTERM EXAMINATION

Spring 2010

MGT402- Cost & Management Accounting (Session - 4)

Time: 60 min

M - 4

Question No: 1 (M - 1) . (<http://www.vuzs.info>)

Cost accountants are concerned about the ratios relating to the Profits and Manufacturing costs. These ratios might include:

- ▶ Gross Mark up rate
- ▶ Inventory turnover ratio
- ▶ Cost of goods sold to sales ratio
- ▶ All of the given options

Question No: 2 (M - 1) . (<http://www.vuzs.info>)

Financial statements are prepared:

- ▶ Only for publicly owned business organizations
- ▶ For corporations, but not for sole proprietorships or partnerships
- ▶ Primarily for the benefit of persons outside of the business organization
- ▶ Depending upon only the need of the decision maker

Question No: 3 (M - 1) . (<http://www.vuzs.info>)

If a predetermined FOH rate is not applied and the volume of production is reduced from the planned capacity level, the cost per unit expected to:

- ▶ Remain unchanged for fixed cost and increased for variable cost
- ▶ Increase for fixed cost and remain unchanged for variable cost
- ▶ Increase for fixed cost and decreased for variable cost
- ▶ Decrease for both fixed and variable costs

Question No: 4 (M - 1) . (<http://www.vuzs.info>)

Cost accounting concepts include all of the following EXCEPT:

- ▶ Planning
- ▶ Controlling
- ▶ Sharing
- ▶ Costing

Question No: 5 (M - 1) . (<http://www.vuzs.info>)

Which of the following is a cost that changes in proportion to changes in volume?

- ▶ Fixed cost
- ▶ Sunk cost

- ▶ Opportunity cost
- ▶ None of the given options

Question No: 6 (M - 1) . (<http://www.vuzs.info>)

Which of the following is a period cost?

- ▶ Direct materials
- ▶ Indirect materials
- ▶ Factory utilities
- ▶ Administrative expenses

Question No: 7 (M - 1) . (<http://www.vuzs.info>)

Increase in material Inventory means:

- ▶ The ending material inventory is greater than opening inventory
- ▶ The ending inventory is less than opening inventory
- ▶ Both ending and opening inventories are equal
- ▶ Can not be determined

Question No: 8 (M - 1) . (<http://www.vuzs.info>)

Weighted average rate per unit is calculated by which of the following formula?

- ▶ Cost of goods issued/number of units issued
- ▶ Total cost/total units
- ▶ Cost of goods manufactured/closing units
- ▶ Cost of goods sold/total units

Question No: 9 (M - 1) . (<http://www.vuzs.info>)

EOQ is a point where:

- ▶ Ordering cost is equal to carrying cost
- ▶ Ordering cost is higher than carrying cost
- ▶ Ordering cost is lesser than the carrying cost
- ▶ Total cost is maximum

Question No: 10 (M - 1) . (<http://www.vuzs.info>)

While calculating the EOQ, number of orders is calculated by:

- ▶ Dividing required unit by ordered quantity
- ▶ Multiplying the required units with ordered quantity
- ▶ Multiplying the ordered quantity with cost per order
- ▶ Multiplying the required units with cost per order

Question No: 11 (M - 1) . (<http://www.vuzs.info>)

In cost Accounting, normal loss is/are charged to:

- ▶ Factory overhead control account
- ▶ Work in process account
- ▶ Income Statement
- ▶ All of the given options

Question No: 12 (M - 1) . (<http://www.vuzs.info>)

Capacity Variance / Volume Variance arises due to

- ▶ Difference between Absorbed factory overhead and budgeted factory for capacity attained
- ▶ Difference between Absorbed factory overhead and absorption rate
- ▶ Difference between Budgeted factory overhead for capacity attained and FOH actually incurred
- ▶ None of the given options

Question No: 13 (M - 1) . (<http://www.vuzs.info>)

Which of the following statements is **TRUE**?

- ▶ Companies that produce many different products or services are more likely to use job-order costing systems than process costing systems
- ▶ Costs are traced to departments and then allocated to units of product when job-order costing is used
- ▶ Job-order costing systems are used by service firms only and process costing systems are used by manufacturing concern only
- ▶ Companies that produce many different products or services are more likely to use process costing systems than Job order costing systems

Question No: 14 (M - 1) . (<http://www.vuzs.info>)

Which of the following would be considered a major aim of a job order costing system?

- ▶ To determine the costs of producing each job
- ▶ To compute the cost per unit
- ▶ To include separate records for each job to track the costs
- ▶ All of the given options

Question No: 15 (M - 1) . (<http://www.vuzs.info>)

Which of the following is characteristic of a job order cost accounting system?

- ▶ It records manufacturing activities using a perpetual inventory system
- ▶ It tracks cost by job
- ▶ It is best suited for customized products
- ▶ All of the given options

Question No: 16 (M - 1) . (<http://www.vuzs.info>)

Which of the following would be considered as factory overhead using a job order cost system?

- ▶ Direct materials
- ▶ Direct labor
- ▶ Depreciation on factory buildings
- ▶ Salesperson's salary

Question No: 17 (M - 1) . (<http://www.vuzs.info>)

All of the following are deducted from Gross Profit to calculate Operating income **EXCEPT**:

- ▶ Selling expenses
- ▶ Advertising expenses
- ▶ Administrative expenses
- ▶ Financial expenses

Question No: 18 (M - 1) . (<http://www.vuzs.info>)

Which of the following is **NOT** a reason for carrying inventory?

- ▶ To maintain independence of operations
- ▶ To take advantage of economic purchase-order size
- ▶ To make the system less productive
- ▶ To meet variation in product demand

Question No: 19 (M - 1) . (<http://www.vuzs.info>)

EOQ is the order quantity that _____ over our planning horizon.

- ▶ Minimizes total ordering costs
- ▶ Minimizes total carrying costs
- ▶ Minimizes total inventory costs
- ▶ Minimize the required safety stock

Question No: 20 (M - 1) . (<http://www.vuzs.info>)

Cost of goods sold available for sale for Sporting Goods store was Rs. 400,000, Gross profit was 35% of sales, and sales were Rs. 480,000. The amount of ending inventory was:

- ▶ Rs. 88,000
- ▶ Rs. 312,000
- ▶ Rs. 400,000
- ▶ Rs. 488, 0000

Question No: 21 (M - 1) . (<http://www.vuzs.info>)

Given data that:

Work in Process Opening Inventory Rs. 20,000

Work in Process Closing Inventory 10,000

Finished goods Opening Inventory 30,000

Finished goods Closing Inventory 50,000

Cost of goods sold 190,000

What will be the value of cost of goods manufactured?

- ▶ Rs. 200,000
- ▶ Rs. 210,000
- ▶ Rs. 220,000
- ▶ Rs. 240,000

Question No: 22 (M - 1) . (<http://www.vuzs.info>)

Cost of material consumed under LIFO costing method is Rs. 6,000. Conversion Cost is Rs. 16,500. 1,000 units of the product were manufactured out of which 800 @ Rs. 30 units sold. There were no beginning and ending inventories of work in process and finished goods.

Required: Calculate per unit cost with the help of given information.

- ▶ Rs. 22.50
- ▶ Rs.16.50
- ▶ Rs. 6.00

► Rs. 28.13

Question No: 23 (M - 1) . (<http://www.vuzs.info>)

Which of the given payroll incentive does not relate to production?

- Commission
- Shift allowance
- Over time payment
- Bonus

Question No: 24 (M - 1) . (<http://www.vuzs.info>)

Maintenance and repair of plant and machinery can be apportioned on the basis of:

- Capital value
- Departmental payroll
- Area in square feet or cubic feet
- Number of workers

Question No: 25 (M - 1) . (<http://www.vuzs.info>)

Factory overhead should be allocated on the basis of:

- Conversion cost
- An activity basis which relates to cost incurrence
- Direct labor costs
- Prime cost

Question No: 26 (M - 1) . (<http://www.vuzs.info>)

In which of the situation volume variance will give favorable result?

- Actual factory overhead is less than absorbed factory overhead
- Actual factory overhead is greater than absorbed factory overhead
- Absorbed factory overhead greater than budgeted factory overhead for actual volume
- Absorbed factory overhead less than budgeted factory overhead for actual volume

Question No: 27 (M - 1) . (<http://www.vuzs.info>)

Actual volume X FOH absorption rate =?

120,000hrs X Rs. 6 =?

- Rs. 720,000 budgeted factory overhead for actual volume
- Rs. 720,000 absorbed factory overhead
- Rs. 720,000 actual factory overhead
- Rs. 720,000 over applied factory overhead

Question No: 28 (M - 1) . (<http://www.vuzs.info>)

If Budgeted FOH for actual volume is Rs. 678,925 and Actual factory overhead is Rs. 648,925 then difference of both will be:

- Unfavorable Spending variance of Rs. 30,000
- Favorable Spending variance of Rs. 30,000
- Unfavorable Capacity variance Rs. 30,000
- Favorable Capacity variance of Rs. 30,000

Question No: 29 (M - 1) . (<http://www.vuzs.info>)

If absorbed factory overhead is Rs.155,000 and Budgeted factory overhead for actual volume is Rs. 110,000 then difference of both will be:

- ▶ Unfavorable Spending variance of Rs. 45,000
- ▶ Favorable Spending variance of Rs. 45,000
- ▶ Favorable Volume variance of Rs. 45,000
- ▶ Favorable Budget variance of Rs. 45,000

Question No: 30 (M - 1) . (<http://www.vuzs.info>)

With reference to cost of production report, which of the following is **NOT** included in Quantity Schedule?

- ▶ Unit put into process
- ▶ Equivalent units produced
- ▶ Units transferred out to subsequent department
- ▶ Units reconceived from preceding department

Question No: 31 (M - 1) . (<http://www.vuzs.info>)

For the calculation of equivalent production which of the given information(s) may include?

- ▶ Units transferred out to next department
- ▶ Units still in process with the stage of completion
- ▶ Unit lost (normal loss)
- ▶ All of the given options

Question No: 32 (M - 1) . (<http://www.vuzs.info>)

Which of the following is **NOT** element of process cost sheet element?

- ▶ Cost accounted for as follows
- ▶ Equivalent units produced
- ▶ Calculation of per unit cost
- ▶ Calculate absorption rate

Question No: 33 (M - 1) . (<http://www.vuzs.info>)

Accounting entry of closing balance can be recorded for:

- ▶ Income a/c and Expenses a/c
- ▶ Liability a/c and Owner's equity a/c
- ▶ Asset a/c and Liability a/c
- ▶ Liability a/c and Expenses a/c

Question No: 34 (M - 1) . (<http://www.vuzs.info>)

Raymond Corporation estimates factory overhead of Rs. 345,000 for next fiscal year. It is estimated that 60,000 units will be produced at a material cost of Rs. 575,000 and conversion required Rs. 60,500.

Required: FOH rate on the bases of Budgeted Production would be?

- ▶ Rs. 5.75 per unit
- ▶ Rs. 6.65 per unit
- ▶ Rs. 6.00 per unit

► Rs.1.00 per unit

Question No: 35 (M - 3)

What is the accounting treatment of Normal Loss in first department at the time of preparation of Cost of Production Report?

Loss of units during manufacturing process is, in many industries, a normal condition. This loss may be due to unavoidable spoiled work or depletion, vanishing or reduction etc. In other words, normal loss represents the lost units expected to arise even under efficient operating conditions. Such a loss is inherent in manufacturing operations and cannot be avoided, for this reason; cost of normal loss is absorbed by the good units produced. It has the effect of increasing unit cost of good output. Total cost of the department is not divided by all units processed, instead. It is divided only by the good units produced.

$$\text{Percent Yield} = (\text{Weight of finished product} / \text{weight of materials charged}) \times 100$$

Question No: 36 (M - 5)

Describe the Advantages and Disadvantages of Group Bonus Schemes.

Advantages of Group Bonus Schemes:

1. Encouraging team spirit. Mutual dependence engenders mutual trust.
2. Good group incentive plans assist in the reduction of labor turnover, accidents, spoilage, waste and absenteeism.
3. Good output will qualify for bonus and this can be earned only if each member has performed his/her task satisfactorily. There is therefore a built-in system of inspection and such a scheme reduces the amount of supervision necessary.
4. High output should result as the slower workers in the group follow the example of faster workers. The cost per unit should decrease as the fixed overhead will be spread over a greater number of units.

Disadvantages of Group Bonus Schemes:

1. A faster worker in the group may feel dissatisfied with his earnings; this may cause dissension within the group. In such cases he may be paid a higher rate.
2. Sickness of members may cause the output of the group to suffer. For the incentive scheme to be successful, it is necessary to have able substitutes to cover sickness, holidays and other absences.
3. Additional administrative costs may result.

Question No: 37 (M - 5)

Units started in process 16,800 units. Units still in process, 4,800 units, 1/2 complete as to materials and 1/4, completed as to labor and factory overhead. Transferred 12,000 units to next department

Required: Compute the Quantity Schedule and Equivalent units of Material, Labour and FOH.